

- 5) Name the instrument which add human rights to social security.

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23.3 OBJECTIVES OF SOCIAL SECURITY

The primary objectives of social security are to:

- 1) Generate confidence among individuals and families that their level of living and quality of life will not erode by social or economic uncertainties.
- 2) Provide medical care and income security against consequences of defined contingencies.
- 3) Facilitate the victims' physical and vocational rehabilitation.
- 4) Prevent or reduce ill health and accidents in the occupation.
- 5) Protect against unemployment by maintenance and promotion of job creation.
- 6) Provide benefit for the maintenance of children.

23.4 APPROACHES TO SOCIAL SECURITY

Social security is a very comprehensive term. The two important means of providing social security are social insurance and social assistance.

23.4.1 Social Insurance

It is a method to provide benefits to persons of small earnings, which combine the contributions of the beneficiaries with subsidies from the employer and the state. In this case the beneficiaries, employers and the Government make contributions towards the creation of a common pool, out of which benefits are paid to the members in the event of any contingency. Thus, social insurance is a co-operative device which aims at granting adequate benefits to the insured on the compulsory basis in time of unemployment, sickness and other emergencies.

23.4.2 Social Assistance

Social assistance refers to the assistance rendered by the society to the poor and needy persons without placing any obligation on them to make any contribution to be entitled to relief as in the case of workmen's compensation, maternity benefit and old age pension etc. Thus, one may say that a social assistance scheme provides benefits to persons of small means granted as of

right in amount sufficient to meet a minimum standard of need and financed from taxation.

Social assistance represents the unilateral obligations of the community towards its dependent group. It is provided by the society or the government to the poor and needy individual. The important features of social assistance are: (i) the whole cost of the programme is met by the State and local units of Government (ii) benefits are paid as of legal right in prescribed categories of need (iii) in assessing need, a person's other income and resources are taken into account, certain resources such as a reasonable level of personal savings are disregarded.

23.5 SOCIAL SECURITY SCHEMES IN INDIA

Legislation provides the general welfare by establishing a clear-cut system. It extends the rights and obligations of its own nationals. Social security schemes are dependent on social security legislations. Each country made its own law/advisory to protect its citizen through legislative enactments.

The social security legislation in India derives its strength and spirit from the Directive Principles of the State Policy (DPSP) and the subjects enlisted in the Concurrent List. Two important social issues mentioned in the Concurrent List (List III in the Seventh Schedule of the Constitution of India) are;

Item No. 23: Social Security and insurance, employment and unemployment.

Item No. 24: Welfare of Labour including conditions of work, provident funds, employers' liability, workmen's compensation, invalidity and old age pension and maternity benefits.

Besides this, there are a few articles in the constitution which distinctly relate to social security issues. They are:

Article 38: State to secure a social order for the promotion of welfare of the people.

Article 39 (a): The state to direct its policy towards securing the citizens, men and women equally, the right to an adequate means of livelihood.

Article 41: Right to work, to education and to public assistance in certain cases.

Article 42: Provision for just and humane conditions of work and maternity relief.

Article 43: Work Living wage, good conditions of work, full enjoyment of leisure, for all kinds of workers.

Drawing from ILO Conventions on Social Security, and some of the legislations made by Government of India for social security along with the schemes are as follows:

23.5.1 Social Insurance

1) The Employees' State Insurance Act, 1948

It provides benefit to workers, in the event of sickness, maternity and employment injury, in the form of payment of sick leave, hospitalisation, etc. The scheme provides two types of social security cover namely - (a) Medical Care and (b) Cash Benefits. Medical care is provided to the insured persons and their family members through a vast network of panel clinics, ESI dispensaries and hospitals generally within the vicinity of their residential areas. The cash benefits on the other hand include Sickness benefits, Maternity benefits, Disablement benefit, Benefits after retirement, Dependents' benefits, Funeral Expenses, Rehabilitation allowance, and Standard benefits.

Employees State Insurance Corporation administers this Act. It covers every establishment in which 10 or more employees are employed or were employed on any day during the preceding twelve months, other than a seasonal factory

2) The Employees' Provident Funds and Miscellaneous Provisions Act, 1952

An important scheme under this Act is Employees' Provident Fund Scheme, 1952. But beneficiaries of this scheme are also entitled to get benefit under two more schemes namely (a) Employees' Pension Scheme, 1995, and (b) Employees' Deposit Linked Insurance Scheme, 1976. The schemes are administered by a tripartite body headed by Labour Minister. Employees Provident Fund Organisation functions under the overall superintendence of Central Board of Trustees (CBT).

i) *Employees' Provident Funds Scheme (EPFS), 1952*

The Act extends to whole of India, and is applicable to every establishment, specified in Schedule-I to the Act in which twenty or more persons are employed or any other establishment employing twenty or more persons or class of such establishment, the Central Government notifies in the Official Gazette. At present, 190 classes of establishments have been notified in Schedule-I of the Act. In case of Cine-Workers, the required employee's strength for the purpose of coverage is five.

The Act is not applied to any other establishment belonging to or under the control of the Central Government or a State Government or set up under any Central, Provincial or State Act and whose employees are entitled to the benefit of contributory provident fund or old age pension in accordance with any scheme or rule framed by the Central Government or the State Government governing such benefits. These establishments are called the exempted establishments. Though the functioning of these establishments is the responsibility of the Trusts of the respective establishments, the EPFO carries out regular inspections to ensure the compliance of conditions of exemption.

Number of exempted establishments was 3109 in the year 1994 which increased to 4365 in the year 2016. Growth of Un-exempted establishments was much higher than exempted establishments, during this period and their number increased from 233772 in the year 1994 to 926297 in the year 2016.

There are two main benefits admissible under the provident fund scheme. First, the beneficiary gets accumulated amount along with interest at the time of retirement or resignation. Second, he can get partial withdrawals for some specific purposes viz. house construction, higher education, marriage, illness etc.

ii) *Employees' Pension Scheme (EPS), 1995*

The Employees' Pension Scheme, 1995 came into effect on 16th November, 1995. With the introduction of this scheme the erstwhile Employees' Family Pension Scheme, 1971 (EFPS) ceased to operate, and all the assets and liabilities of EFPS were transferred and merged with the Employees' Pension Fund. The benefits and entitlements of the beneficiaries under the old scheme (EFPS) were protected and continued under the new EPS, 1995.

The EPS has been designed on the principles of a "Defined Contribution - Defined Benefit" and adopts "actuarial principles" for ensuring long-term financial viability. It aims to provide economic sustenance during old age and survivorship coverage to members and his families.

iii) *Employees' Deposit Linked Insurance Scheme (EDLIS), 1976*

Employees' Deposit Linked Insurance Scheme came into force on 1st August, 1976. It is supported by a nominal contribution by the employers and no contribution is payable by the employees. The scheme covers all the employees of the establishments to which EPFMP Act, 1952 applies.

Insurance benefit is provided in case of death of an employee who was member of the scheme at the time of death. Under the revised benefit under the scheme the family will get an amount linked to either the average balance in PF Account during preceding 12 months or 20 times of the average wages on which contributions were made during the last 12 months of the member subject to a maximum of Rs 6 lakhs, whichever is higher.

3) **The Payment of Gratuity Act, 1972**

It applies to every factory, mine, oilfield, plantation, port and railway company and every shops or establishments having a minimum of 10 employees, and provides for gratuity of payments at the end of service. To be eligible for gratuity the employees should have a minimum continuous service of 5 years. This Act provides for payment of a lump sum gratuity to the employees. Under the Scheme, Gratuity is payable @ 15 days wages for every completed year of service subject to monetary ceiling of Rs. 10.0 lakh. In the event of the death or disablement of the employee, the gratuity must still be paid to the nominee or the heir of the employee.

Gratuity is exempted from taxation provided that the amount does not exceed 15 days' salary for every completed year of service calculated on the last

drawn salary (subject to a maximum of Rs. 10 lakh). It is important to note that an employer can choose to pay more gratuities to an employee, which is known as ex-gratia and is a voluntary contribution. Ex-gratia is subject to tax.

4) Enactment of the two Legislations relating to the Welfare of Construction Workers in the Year 1996

In July 1996 two bills on construction workers were introduced in the Parliament which were approved by the Parliament resulting in the enactment of the Building and Construction Workers (Regulation of Employment and Condition of Service) Act, 1996 and the Building and Other Welfare Cess Act, 1996.

The Building and Construction Workers Act is applicable to the establishments which employ 10 or more workers in any building or other construction work and their project cost is more than Rs. 10 lakhs. There is a provision to constitute Central and the State Advisory Committees to advise the appropriate Governments in the matters arising out of the administration of the Act. Various items for which these committees can advise are: Constitution of Welfare Boards by the State Governments, registration of beneficiaries under the Fund, provision for regulating the employment and conditions of service, welfare measures for the construction workers. Further as per the Building and other welfare cess act, Central and the State Advisory Committees may advise for setting up a Welfare Fund at the State level to be financed by contribution from beneficiaries, levy of cess on all construction works at rates of 1 to 2 per cent of construction cost incurred by an employer and non-mandatory grants/loans from the State/Central Governments.

With the efforts of Ministry of labour and employment, Government of India, States/UTs carried out the notification of Rules and formation of the Boards. As per the Act, these Boards have the authority to provide various social security schemes to their members. These may relate to health, education and old age protection.

5) The Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) 2005*

Objectives of the Act

- i) providing a rights based 100 days employment in a year to strengthen the subsistence livelihood support, enhancing the rural households purchasing power and capacity to alleviate hunger; and
- ii) directing the colossal amount of wages towards creating productive and durable assets of irrigation, drought proofing, land and water conservation, horticulture and connectivity to general prosperous livelihood support system. The ultimate objective was to benefit the entire community by providing employment; raising agricultural productivity and increasing natural resource base, particularly water. The process envisaged to attain the objectives would result in strengthening

*By virtue of being MGNREGA as job guarantee scheme. It is also mentioned as MGNREG Scheme (MGNREGS)

the grassroots processes of democracy and infusing transparency and accountability in governance.

Features of the Programme

- i) The adult members of the rural households apply to the local panchayats seeking registration for employment;
- ii) issue of job cards by the panchayat within 15 days from the date of application;
- iii) written application by the job card holders to the panchayat seeking employment;
- iv) issue of dated receipt of written application for employment;
- v) provision of employment within 15 days of application for work failing which payment of unemployment allowance;
- vi) provision of work within a radius of 5 km from the village (payment of extra wages of 10 per cent, if the work provided is beyond 5 km);
- vii) payment of wages as per the minimum wages act;
- viii) provision of equal wages for men and women;
- ix) disbursement of wages on a weekly basis;
- x) women should constitute one-third of the workers;
- xi) provision of facilities at the work site;
- xii) shelf of project as recommended by the Gram Panchayat and approved by zilla Parishad;
- xiii) permissible works are predominantly soil and water conservation, forestation and land development;
- xiv) wage material cost ratio should be 60:40 (no room for machine and contractors);
- xv) social audit has to be undertaken by the Gram Sabha;
- xvi) institution of grievances redressal mechanism for ensuring responsive implementation process; and
- xvii) all accounts are subject to public scrutiny resulting in accountability and transparency of the scheme.

Working of the Programme

MGNREGA is the first tangible commitment to the poor that they can expect to earn a living wage without loss of dignity and demand this as a right. MGNREGA has benefited the people especially the marginalised and the poor on several counts. Evidences from the field and the analysis of the macro data have brought to light the various merits of the scheme and its impact on the target beneficiaries.

6) Unorganised Workers' Social Security Act, 2008

The law aims at extending benefits to workers in informal sector/unorganised sector similar to that of formal sector/organised sector workers. The Act broadly covers life and disability, health and maternity benefits, old age protection, and any other benefit as may be determined by the Central Government.

7) Domestic Workers Act, 2008

It aims at regulating payment and working conditions of domestic workers and entitles every registered domestic worker to receive pension, maternity benefits and a paid weekly leave.

8) Food Security

Food security means the easy availability and access of food at all times in sufficient quantity in a safe and nutritious form to meet the dietary requirements and food preferences for an active, healthy and productive life. This should also be adequate in terms of quantity, quality and variety and is acceptable to culture. Food security is one of the pre-requisite for economic and social stability of a nation. The availability, access and stability are three important indicators which should be analysed in the context of food security.

The National and State government's implement different food security schemes to tackle food insecurity and malnutrition. These are related to various government sectors, since they seek to support agricultural production, distribution, purchase and use, as well as to ensure the provision of health and nutritional services, sanitation and others. Initiatives include subsidised food sales, school meals for targeted vulnerable citizens. They include longstanding schemes such as the Integrated Child Development Service (ICDS), which has been in place since 1975 and seeks to provide education, nutrition and health services to women and children; and recent initiatives such as the National Food Security Mission, launched in 2007, which aims to increase crop productivity.

The most widely implemented food security scheme is the Public Distribution System (which later formed as Targeted Public Distribution System with some modification in its content, scope and objectives). Under the scheme, the government provides distribution of cereals, as well as sugar and Kerosine oil through fair price shops at subsidised price. The other important scheme on food security is the Antodaya Anna Yojana (AAY) which caters to the poorest of the poor section of population. Under these schemes, all the households are divided into Above Poverty Line (APL) and Below Poverty Line (BPL) based on the planning commission cut off income. These two groups are treated separately in terms of price and quantity of food grain.

9) Pension Fund Regulatory Development Authority Act, 2014

In late nineties there was a critical challenge before India due to the enormous strain on revenue being provided due to government employees on the basis of defined pension benefits. Keeping this in view Government of

India decided to introduce a National Pension Scheme (NPS) based on defined contribution pension scheme for new entrants to Central Government service, except to Armed Forces, in the first stage, with effect from January 1, 2004, replacing the existing defined benefit scheme. At the same time for old employees, existing defined benefits were not disturbed.

Although an Ordinance was issued in the year 2004 to set up a statutory Pension Fund Regulatory and Development Authority (PFRDA) to administer National Pension Scheme, the Act became effective from February 1, 2014 after receiving the assent of the President. Under the Act PFRDA was set up to promote old age income security by establishing, developing and regulating pension funds and protecting the interests of subscribers to various schemes of pension funds. The ongoing schemes administered by PFRDA are:

i) *National Pension Scheme (NPS) for Central and State Government Employees*

Initially National Pension System was introduced on mandatory basis only for the new entrants to central government service (other than armed forces) who joined on or after 01.01.2004. After that it has been extended to state government employees also. At present all the states except West Bengal and Tripura have adopted NPS for their employees from the notified dates. Tamil Nadu has adopted contributory pension scheme under National Pension System (NPS), but it maintains the employees' pension accounts itself. Beside this as on 31st March, 2017, 528 central autonomous bodies and 806 state autonomous bodies are registered under NPS.

After joining the services, all the new employees who joined after January 1, 2004 are to be registered under NPS on mandatory basis.

ii) *National Pension Scheme for Corporate Sector*

Companies can enroll their employees as members of NPS and provide retirement benefits to their employees. Instead of taking of their own, 'the work of setting up and managing trusts, investing the funds and providing annuity', they can use the NPS architecture. Companies decide about amount of contribution to be paid in the retirement account. All the contribution can be from the employer or from the employee or it can be shared by both in a decided proportion. The choice of fund manager as well as investment pattern can be either decided by the employer or the employer can give this choice to the employee. The periodic contributions can be either directly made by the employer to NPS or it can be routed through Point of Presence with which the company has tied up to provide the services. Subscribers have the portability facility in which they can transfer their retirement account across locations and between sectors. The subscriber can move the account from one employer to another employer or from the Corporate Sector to the All Citizens model, as the case may be.

Until now individuals between the ages of 18 to 60 years could join NPS. In a significant move to expand pension coverage in the country, the maximum age for joining the NPS has been raised from 60 years to 65 years for the

employees of corporate sector and self-employed. The move by PFRDA will enable people aged between 60 and 65 years to join NPS and make contributions to it until the age of 70 years.

iii) *All Citizen – Unorganised Sector Workers*

In May 2009, NPS was opened on voluntary basis for all Indian Citizens which includes the private sector and informal sector (unorganised sector) workers. Objective of extension of the NPS was to provide a low-cost retirement savings system to India's informal sector workers. Alterations in the scheme were made to ensure that it is scalable, low cost, simple, portable and flexible. PFRDA allowed the enlisted Post offices, public sector banks and NGOs with local standing to open the accounts of these workers.

The unorganised sector (All Citizens) Model of the NPS was available to all citizens of India, whether resident or non-resident. However, the applicant should be between 18–60 years of age as on the date of submission of his/her application. Recently the maximum age of self-employed has been raised from 60 years to 65 years.

iv) *Atal Pension Yojana*

Eligibility and Benefit of APY

The scheme is open to all bank account holders who are between the age of 18 years and 40 years. Under APY there is a provision for fixed pension for the subscribers ranging between Rs. 1000 to Rs. 5000. The contribution rate is low if subscriber joins early and increases if he joins late.

Government co-contributes 50 per cent of the total contribution of the subscriber or Rs. 1000 per annum, whichever is lower, to eligible subscribers who have joined before 31st March 2016; and also reimburses expenditure for the promotional and development activities including incentive to the contribution collection agencies to encourage people to join the APY.

23.5.2 Social Assistance

1) **The Employee's Compensation Act, 1923 also known as The Workmen's Compensation Act, 1923**

The Workmen's Compensation Act is the oldest of the social security legislations intended for the welfare of workers. This Act makes it obligatory for the employers to provide compensation to workmen or their survivors in case of injuries and occupational diseases sustained during the course of employment and resulting in disablement or death. Compensation calculation is done as given below:

- a) Death: 50 per cent of the monthly wage multiplied by the relevant factor (age) or an amount of Rs. 80,000, whichever is more.
- b) Total permanent Disablement: 60 per cent of the monthly wage multiplied by the relevant factor (age) or an amount of Rs 90,000, whichever is more.

2) The Maternity Benefit Act, 1961

It provides maternity protection before and after childbirth, through payment of wages. The amendment of this Act came into force on April 1, 2017, and increased some of the key benefits mandated under the previous Maternity Benefit Act of 1961. The amended law provides women in the organised sector with paid maternity leave of 26 weeks, up from 12 weeks, for the first two children. For the third child, the maternity leave entitlement will be 12 weeks.

The Act also secures 12 weeks of maternity leave for mothers adopting a child below the age of three months as well as to commissioning mothers (biological mothers) who opt for surrogacy. The 12-week period in these cases will be calculated from the date the child is handed over to the adoptive or commissioning mother.

In other provisions, the law mandates that every establishment with over 50 employees must provide crèche facilities within easy distance, which the mother can visit up to four times a day. For compliance purposes, this particular provision came into effect from July 1, 2017.

This Act is applicable to (a) every establishment being a factory, mine or plantation including any such establishment belonging to Government; and (b) every shop and establishment in which ten or more persons are employed, or were employed, on any day of the preceding twelve months; and such other shops and establishments notified by the State Government after prior approval of the Central Government.

3) National Social Assistance Programme (NSAP)

The NSAP, a 100 percent centrally sponsored programme is designed to provide protective social security to the very poor citizens. This is the first nationwide programme of cash transfer. This programme intends to provide social assistance benefits to poor households in case of old age, death of main breadwinner and maternity. The programme ensured that Central assistance does not displace States' own expenditure in this respect and that the States/UTs may expand their own coverage of social assistance independently, wherever they wish to do so. The NSAP is implemented by panchyats and municipalities so as to make it more responsive and cost effective. The panchyats and municipalities are encouraged to play an active role in identifying the poor households.

This programme comprises four pension and disability schemes for the elderly. These include the Indira Gandhi National Old Age Pension Scheme (IGNOAPS), under which persons below poverty line (BPL) aged 60 years or above are entitled to a monthly pension of Rs. 200 up to 79 years of age and Rs. 500 thereafter. In case of Indira Gandhi National Widow Pension Scheme (IGNWPS), BPL widows aged 40 to 59 years are entitled a monthly pension of Rs. 200. Indira Gandhi National Disability Pension Scheme (IGNDPS) offers Rs. 200 a month to BPL persons 18-59 years with severe and multiple disabilities.